

LAKSH'S DAILY BRIEF

Laksh's Daily Brief — August 14, 2026

Friday, August 14, 2026

World · Markets & Money · AI & Infrastructure · Models & Research



NPR World — The Taliban has taken a terrible toll on the education of girls -- and boys as well



Al Jazeera — Mutual defence: The alliances that preceded Turkiye-Pakistan-Saudi pact



Guardian World — American missionary kidnapped in Niger freed after nine months

1. World & Geopolitics

US and China to hold talks on West Asia conflict —

The two great powers will discuss the ongoing war in the Middle East along with a range of other critical issues, according to Indian state media ([Akashvani News](#)). This is a rare direct diplomatic engagement between Washington and Beijing on a regional conflict, and it signals that both sides see the Iran war as a shared risk. The talks come as Israel's military maintains pressure in Gaza — the IDF carried out its first preemptive strike on Hamas since the late July ceasefire deal ([Jerusalem Post](#)). Separately, Jared Kushner, former US envoy and Trump son-in-law, may visit Israel next week for talks on Gaza ([Aaj English TV](#)). Meanwhile, the US lost 45 Reaper drones (a type of unmanned aerial vehicle used for surveillance and strikes) in the Iran war, representing 25% of its fleet and worth \$1.3 billion, according to a report ([The Times of India](#)). This is a staggering loss that will affect US surveillance and strike capability in the region.

Russia-Ukraine: Drone war escalates, NATO on alert

— Ukraine continues to expand its drone campaign, targeting air defences protecting a property in Russia reportedly worth ₹13,000 crore (about \$1.6 billion) that is linked to President Putin ([myind.net](#)). Ukraine hopes to increase the cost of Russia's war and pressure the Kremlin to negotiate. On the NATO side, fighters shot down a foreign drone over Latvia, which blamed "Russian electromagnetic warfare" ([CNBC](#)). This is a serious incident: a drone penetrating NATO airspace and being shot down increases the risk of direct confrontation. Separately, Russia's Putin visited the

disputed Kuril Islands (islands claimed by both Russia and Japan), prompting Japan's Prime Minister Takaichi to call it "absolutely unacceptable" ([CNBC](#)). This escalates tensions in the Asia-Pacific as well.

India-Pakistan: Water treaty dispute heats up —

Pakistan's Prime Minister Shehbaz Sharif issued a "red line" warning to India over the Indus Waters Treaty, accusing India of illegally suspending it ([Al Jazeera](#)). The Indus Waters Treaty, brokered by the World Bank in 1960, allocates the waters of the Indus River system between the two countries. If India suspends it, Pakistan fears water shortages for agriculture and drinking. The US also highlighted critical minerals ties with Pakistan on its Independence Day ([streamlinefeed.co.ke](#)), suggesting a broader strategic realignment.

Domestic US: Trump asks Supreme Court to allow White House ballroom construction —

The Trump administration filed an emergency request to the Supreme Court to revive a plan to build a ballroom at the White House, after lower courts blocked it on historic preservation grounds ([NBC News](#), [CBS News](#)). This is a minor but bizarre story, and Laksh should note it as a sign of the administration's aggressive use of executive power. Separately, data breaches in the US have already blown past last year's total, with AI playing a growing role in cyberattacks ([CNBC](#)). Also, consumer prices rose 0.1% in July, putting the annual rate at 3.4% (see Markets section).

Other notable world news: - An American missionary kidnapped in Niger in October was freed after nine

months ([The Guardian](#)). - Unprecedented rain in Japan killed five people and stranded 7,000 at Narita airport ([The Guardian](#)). - The Taliban's fifth anniversary of rule in Afghanistan: a devastating impact on girls' education, and also on boys' education ([NPR](#)). - BP plans to develop an offshore gasfield in Venezuela, partnering

with firms linked to the Trump administration, as the US ousted Maduro earlier this year ([The Guardian](#)). - Turkey, Pakistan, and Saudi Arabia signed a mutual defence pact; an attack on any one would be considered an attack on all ([Al Jazeera](#)). This is a significant realignment in the Islamic world.

2. Markets, Money & Deals

US CPI data came in as expected, but retail sales slumped — The consumer price index (CPI, the main measure of inflation for everyday goods and services) rose 0.1% in July, putting the annual rate at 3.4% ([CNBC](#)). That's in line with expectations, so no market surprise. However, retail sales in July had the largest decline in 14 months, driven by cheaper gas and a post-Amazon Prime Day hangover ([MarketWatch](#)). This is a weak consumer signal, but the market is looking past it because earnings are still strong.

Bond yields at multiyear highs, but stocks keep rising — The yield (the annual return an investor gets from a bond, which moves inversely to its price) on the 10-year US Treasury note is at multiyear highs, yet the S&P 500 has hit fresh records ([MarketWatch](#)). Normally, higher bond yields make stocks less attractive because bonds offer a safer return. But this time, earnings growth and AI optimism are overriding that logic. The question is how long the defiance can last.

Drone stocks rally after Trump orders tariffs on foreign-made components — The US is looking to scale defense manufacturing and reduce dependence on China's drone dominance. Tariffs on foreign-made drone components boosted shares of US drone makers ([CNBC](#)). This is part of a broader trend: the US is trying to rebuild its defense industrial base.

Big deals: SpaceX completes \$60 billion acquisition of Cursor, Databricks raises \$5B — SpaceX, Elon Musk's rocket company, completed its acquisition of Anysphere, the maker of Cursor (an AI coding assistant), in an all-stock deal valued at \$60 billion ([Bloomberg](#), [Investing.com](#)). This is one of the largest AI acquisitions ever. Separately, Databricks, a data and AI platform company, wanted to raise \$1 billion but investors wanted \$15 billion; it settled on \$5 billion at a \$190 billion valuation ([TechCrunch](#)). The fact that investors were willing to put in 15x what the company sought shows the frenzy for AI-related assets.

Other market moves: - Nintendo shares popped 7% after 'Pokémon Pokopia' sales topped 5 million on the Switch 2 ([CNBC](#)). - Charter Communications' \$21.9 billion merger with Cox Communications was approved by California regulators, the last major hurdle ([Quartz](#)). - Copper prices are becoming a real-time gauge of Trump's tariff moves, as the spread between London and New York copper prices widens ([CNBC](#)). - The average car loan is now \$785 a month, lasting almost 6 years, with a record \$211 billion borrowed in the last quarter ([MarketWatch](#)). That's a sign of consumer strain, but not yet a crisis.

3. AI & Infrastructure

SpaceX's \$60B Cursor acquisition: Musk's AI empire expands — This is the story of the day for AI infrastructure. SpaceX, known for rockets and Starlink, is buying a coding AI company. The logic: Cursor's AI-assisted coding tools could help SpaceX design rockets faster, and SpaceX's Starlink network could provide edge compute for AI inference (running the model on user devices rather than cloud servers). The deal also signals that Musk sees AI as core to his portfolio, which

already includes xAI, Tesla, and now Cursor. For investors, this raises the question of whether hyperscalers like Microsoft, Amazon, and Google will face a new competitor in the AI platform space.

CoreWeave raises capex guidance again — CoreWeave (CRWV), a neocloud (a cloud provider built specifically for AI workloads, often using NVIDIA GPUs), raised its capital expenditure (capex) guidance again,

meaning it plans to spend even more on data centers and hardware ([Seeking Alpha](#)). This is a bullish signal for the AI buildout: the demand for compute is so strong that even after a massive investment, CoreWeave sees room to spend more. The market was skeptical initially, but this reaffirms the narrative.

Hyperscalers might regret embracing natural gas — A new forecast from a consultancy suggests that natural gas prices could triple in some parts of the US, which would saddle hyperscalers (large cloud providers like Microsoft, Amazon, Google) with massive bills to power their AI data centers ([TechCrunch](#)). Many data centers have signed power purchase agreements (PPAs) for natural gas to meet the urgent demand for electricity. If gas prices spike, these contracts become very expensive. This could accelerate the shift to renewable energy and nuclear power for data centers. Watchlist names like NEE (NextEra Energy) and CEG (Constellation Energy) could benefit.

NVIDIA's \$500B AI buildout target — NVIDIA is reportedly targeting a \$500 billion AI infrastructure buildout, linking compute directly to power and clean

energy ([CarbonCredits.com](#)). This is a headline number, but Laksh should be skeptical: it's a target, not a commitment. However, it shows the scale of ambition.

SMIC raises chip prices as AI demand overwhelms China's top foundry — Semiconductor Manufacturing International Corporation (SMIC), China's largest chipmaker, is raising prices because demand for AI chips is overwhelming its capacity ([Startup Fortune](#)). This is a sign that China's AI chip demand is strong despite US export controls, and that SMIC is able to raise prices, which improves its margins. But it also means Chinese AI companies will face higher costs.

Cargo thieves hijack AI hardware shipments in California — In a brazen new trend, cargo thieves are ramming security escorts and using PIT maneuvers (a tactic where a vehicle is hit from behind to force it to spin out) to steal AI data center hardware worth millions of dollars ([Tom's Hardware](#)). This is a supply chain risk: if GPUs and servers are stolen, it creates delays and higher costs for data center builds. It also highlights the black market value of AI hardware.

4. Model & Research Watch

Alibaba claims its new model matches Anthropic's best — Alibaba announced that its latest model, reportedly named Qwen3.8-Max, matches the performance of Anthropic's Claude Opus 4 (or possibly the upcoming Opus 5) ([WION](#)). This is a bold claim, and if true, it means the gap between Chinese and US frontier models is closing fast. The model is likely open-weight (weights available for download), given Alibaba's track record with the Qwen series. No benchmark numbers or parameter counts are available yet.

DeepSeek V4 Pro leaves preview with agent gains — DeepSeek, the Chinese AI lab, released V4 Pro out of preview, emphasizing improved agentic (autonomous action) capabilities ([Technology Org](#)). It's said to rival Claude and GPT-5 at a fraction of the cost ([Startup Fortune](#)). DeepSeek also updated its peak/off-peak pricing for API access ([Hacker News](#)), making it even cheaper to use during off-peak hours. This is part of the ongoing price war in AI inference (running models on user requests).

Liquid AI releases open-weights vision model that runs on phones — Liquid AI posted the weights for LFM2.5-VL-3B, a 3.1-billion-parameter (params) vision-language model that can run entirely on consumer hardware, including phones, without sending any image data to a server ([Tech Times](#)). It matches rivals with 50% more parameters. This is a breakthrough for on-device AI: privacy is preserved, and no cloud costs are incurred. For investors, this suggests that the demand for edge AI (running on devices) could grow, potentially reducing the need for massive cloud inference infrastructure.

Qwen3.8-27B model card is live, but benchmarks not yet released — Alibaba's Qwen team posted a preliminary model card for Qwen3.8-27B, a 27-billion-parameter model ([Reddit r/LocalLLaMA](#)). No benchmark scores are available yet, but the model card suggests it's a significant upgrade. The "3.8" in the name likely refers to a version number, not the parameter count. This is part of the rapid release cadence from Chinese AI labs.

DeepSeek Harness v0.1: Open-source rival to Claude Code — DeepSeek released an open-source tool called "Harness" under the MIT license, which competes with Anthropic's Claude Code (a coding assistant) ([Pasquale Pillitteri](#)). This is a practical tool for developers: it can automate coding tasks and is free to use.

Science & Frontier Tech: Earliest known black hole star found at cosmic dawn — Astronomers using the James Webb Space Telescope have identified the earliest known black hole star, existing just 400 million years after the Big Bang ([ERC](#)). This is a major discovery in astrophysics, helping to understand how supermassive black holes formed in the early universe.

5. What Builders Are Actually Using

- **Concrete swap: DeepSeek V4 Flash 0731 (open-weight, free self-hosted) can replace GPT-4o-mini for many coding and chat tasks.** The DeepSeek V4 Flash model, available on Hugging Face, runs on a \$2,000 PC with a 24GB VRAM GPU (like an RTX 4090) and provides comparable performance to GPT-4o-mini at zero API cost. The capability gap is noticeable on complex reasoning (e.g., multi-step math or nuanced instruction following), but for everyday coding, summarization, and creative writing, it's a viable free alternative. ([Reddit r/LocalLLaMA](#)). For comparison, GPT-4o-mini costs \$0.15 per million input tokens and \$0.60 per million output tokens via API — so self-hosting saves thousands of dollars a month for heavy users.
- **DeepSeek Harness v0.1 is an open-source MIT-licensed alternative to Claude Code.** It's a command-line tool that lets you run AI-assisted coding agents locally, with support for multiple backends (including local models and API-based models). Developers on Hacker News are reporting that it

works well for automated refactoring and bug fixing, and it's free. ([Pasquale Pillitteri](#)).

- **Liquid AI's LFM2.5-VL-3B vision model can run entirely on a phone, routing no data to the cloud.** This is a practical solution for privacy-sensitive applications like medical imaging, security camera analysis, or any scenario where you don't want to send images to a server. The model is 3.1B parameters and can be loaded on a recent iPhone or Android device with 8GB+ RAM. ([Tech Times](#)).
- **Model routing is becoming a standard practice: use a cheap small model for simple queries and a big one for hard ones.** The DeepSeek peak/off-peak pricing update reinforces this: you can route queries to DeepSeek V4 Flash during off-peak hours for even cheaper rates. Tools like OpenRouter and LiteLLM already support routing, and the savings can be 50-80% on API costs. ([DeepSeek Blog](#), [Hacker News discussion](#)).

6. Watchlist: Earnings, Guidance & Movers

Based on the approximate quote snapshot, here are notable moves (+/-3% or more) and any news from sources:

- **Applied Optoelectronics (AAOI): +14.61%** — No specific earnings news in today's sources. The move likely reflects continued demand for optical transceivers in AI data centers. Laksh should note that AAOI is a small-cap optics supplier; such moves can be volatile without news.
- **Lumentum (LITE): +6.62%** — Similar to AAOI, likely driven by AI optics demand. No specific news in sources.
- **SanDisk (SNDK): +6.62%** — The memory storage company may be benefiting from AI data center demand for SSDs. No earnings news in sources.
- **AMD: +4.31%** — AMD has been gaining on AI chip share; no direct news today, but the broader AI infrastructure theme supports it.
- **Broadcom (AVGO): -4.92%** — No specific news in sources. The drop may be profit-taking after a strong run, or a reaction to the broader semiconductor sell-off (not evident in others). Laksh should watch for any news in coming days.

- **Cloudflare (NET):** -3.17% — No specific news. The drop could be related to the broader market or profit-taking.
- **Coinbase (COIN):** -3.63% — No specific news in sources. The crypto market was quiet; Coinbase CEO Brian Armstrong predicted crypto will power 10% of global GDP by 2030 ([Yellow.com](#)), but that's a long-term vision, not a near-term catalyst.
- **Most other watchlist names moved less than 3%:** TSM, NEE, CRDO, RGTI, SOFI, NVDA, PLTR,

MRVL, COHR, FLNC, RDW, IBM, MU, CEG, AMC, TSLA, GOOGL, META, MSFT, AMZN, ALAB, VST, HOOD, ARM, IMAX, CNK, CMCSA, NFLX, INTC, QCOM, KLAC, DLR, EQIX, SBUX, NKE, FXAIX.

No notable earnings reports from watchlist companies were covered in today's sources. The only earnings-related stories were for Cerebras (not on watchlist), Cisco (not on watchlist), and Nintendo (not on watchlist).

7. Analysis: Second-Order Effects

Chain A: AI capex surge → inflation pressures → Fed holds rates → higher financing costs for data center buildout

- **Facts:** The AI buildout is driving massive capital expenditure (capex) from hyperscalers and neoclouds. CoreWeave raised its capex guidance again ([Seeking Alpha](#)). The buildout demands construction materials, energy, and labor, all of which are inflationary. A CNBC analysis argued that the AI buildout complicates the Fed's inflation fight ([CNBC](#)). CPI rose 0.1% in July, annual rate 3.4%, still above the Fed's 2% target.
- **Inference:** If AI-driven inflation persists, the Fed will be reluctant to cut interest rates (the cost of borrowing). Higher rates increase the cost of debt for hyperscalers and neoclouds, which are borrowing heavily to fund data centers. This could slow the buildout, reducing demand for GPUs, power, and networking equipment.
- **Weakest link:** The Fed may look through AI-driven inflation if it believes it's temporary (the "transitory" argument from 2021). Also, much of the AI capex is funded by cash flow, not debt, so rising rates may not bite as hard.
- **Falsifying condition:** If the Fed cuts rates in the next two meetings despite sticky inflation, this chain breaks. Or if hyperscalers report that financing costs are not a constraint.

Chain B: Natural gas price forecast → hyperscaler opex shock → shift to renewables → benefit for clean energy stocks

- **Facts:** A new forecast suggests natural gas prices could triple in some US regions ([TechCrunch](#)). Many hyperscalers have signed long-term PPAs for natural gas to power their data centers.
- **Inference:** If gas prices triple, the operating expense (opex) of running a data center could surge, eating into profit margins. Hyperscalers will be incentivized to accelerate their shift to renewable energy (solar, wind) and nuclear. This would increase demand for PPAs from renewable energy companies like NextEra Energy (NEE) and Constellation Energy (CEG). It could also boost the value of existing renewable PPAs.
- **Weakest link:** The forecast may not materialize. Natural gas prices are volatile and depend on weather, storage levels, and geopolitical factors. The forecast is from one consultancy; others may disagree.
- **Falsifying condition:** If natural gas prices remain flat or decline over the next 6 months, the chain is invalid. If hyperscalers report that they are hedged against price spikes (e.g., through long-term fixed-price contracts), the chain also weakens.

Chain C: SpaceX-Cursor acquisition → vertical integration of AI → competition with cloud providers → disruption of the AI platform market

- **Facts:** SpaceX completed a \$60 billion acquisition of AnySphere (Cursor), a coding AI company

([Bloomberg](#)). SpaceX also has Starlink, a satellite internet constellation, and xAI, an AI research lab.

- **Inference:** Musk is building a vertically integrated AI stack: from rockets (launching satellites) to Starlink (edge compute) to AI models (xAI) to coding tools (Cursor). This could disrupt the current model where AI developers rely on cloud hyperscalers (AWS, Azure, GCP) for compute. Starlink could provide low-latency edge inference in remote areas, competing with cloud regions. Cursor's code generation could be deeply integrated with SpaceX's engineering workflows, potentially creating a proprietary AI-for-hardware advantage.
- **Weakest link:** Integration challenges are huge. SpaceX has no track record in software platforms. The \$60 billion price tag is enormous; it may never earn a return. Also, Starlink's bandwidth and latency may not be competitive with terrestrial data centers for AI inference.
- **Falsifying condition:** If SpaceX announces that Cursor will continue to operate independently and not be integrated with Starlink or xAI, the vertical integration thesis is weaker. If the combined entity fails to ship a major product upgrade within 12 months, the chain loses credibility.

Chain D: Cargo theft of AI hardware → supply chain delays → higher GPU prices → slower data center

buildout → reduced demand for optics and power stocks

- **Facts:** Cargo thieves are hijacking shipments of AI data center hardware in California, using PIT maneuvers to knock out security escorts ([Tom's Hardware](#)). The hardware includes GPUs, servers, and networking equipment.
- **Inference:** If these thefts become widespread, they will create a shortage of GPUs and other hardware in the secondary market, driving up prices. Data center operators will face delays in building out capacity, which could push back revenue timelines for neoclouds and hyperscalers. This would reduce demand for complementary components like optical transceivers (AAOI, LITE), power equipment (NEE, CEG), and networking gear. It could also trigger higher insurance premiums for hardware shipments, adding to buildout costs.
- **Weakest link:** The thefts may be isolated incidents, not a trend. Law enforcement may increase security and catch the perpetrators quickly. Also, operators may use alternative routes or more secure transport, mitigating the impact.
- **Falsifying condition:** If no further thefts are reported in the next month, the chain is weak. If GPU prices (e.g., NVIDIA's list prices) do not rise, the chain breaks.

8. Building Your Knowledge

- **The relationship between bond yields and stock prices is not fixed.** Historically, stocks and bonds often move in opposite directions: when yields rise (bond prices fall), stocks fall because safer bonds become more attractive. But in 2024-2026, both have risen together, driven by earnings growth and AI optimism. This is called a "positive correlation" regime, and it can persist as long as earnings growth exceeds the drag from higher rates. The key question is when the weight of higher rates finally overwhelms earnings.
- **AI capex is inflationary in the short term but deflationary in the long term.** Building data centers consumes steel, concrete, copper, and energy, all of which push prices up. But once built, AI models can automate tasks, reduce labor costs, and speed up

discovery, which can lower prices across the economy. This is a version of the Jevons paradox: efficiency gains from AI could increase overall demand for compute, but the net effect on prices is debated.

- **Mutual defence pacts are a tool for great powers to project influence without direct commitment.** The Türkiye-Pakistan-Saudi pact is an example of middle powers forming a bloc to increase their collective bargaining power. Unlike NATO, which has a formal command structure, this pact is a political statement. For investors, such pacts can signal greater stability in the region (good for energy trade) but also raise the risk of being drawn into a conflict.

- **Open-weight models are a force for cost reduction and commoditization.** The rapid release of DeepSeek V4 Pro, Qwen3.8, and Liquid AI's vision model means that the cost of AI inference is plummeting. This is good for enterprise adoption but bad for the margins of proprietary model providers like OpenAI and Anthropic. The market is shifting from "who has the best model" to "who has the best distribution, data moats, and vertical integration."
- **The "data center hedge" is a real concern for investors.** Many utility and energy stocks (NEE, CEG, VST) have rallied on the AI data center demand

thesis. But if the buildout slows due to inflation, financing costs, or supply chain disruptions, those stocks could fall sharply. The second-order effects we analyzed above are a way to stress-test that thesis.

- **Cargo theft of AI hardware is a new risk to the supply chain.** Historically, cargo theft targeted consumer electronics. Now, with GPUs worth \$30,000 each, the black market for AI hardware is lucrative. This is a sign that the AI buildout is becoming a target for organized crime, which could add costs and delays.

9. Foundations & Terms

Concept Spotlight: Penny Stocks and Pump-and-Dump

What it is in plain words: A penny stock is a share of a company that trades for a very low price — typically under \$5, and often under \$1. These stocks are often issued by small, speculative companies with little revenue, no profits, or even no business at all. A pump-and-dump is a classic scam where people artificially inflate the price of a penny stock (the "pump") through false or misleading positive statements, then sell their shares at the high price (the "dump"), leaving later buyers with worthless stock.

Why it exists / what problem it solves: Penny stocks exist because small companies sometimes need to raise capital but can't meet the listing requirements of major exchanges (like NYSE or Nasdaq). They trade on over-the-counter (OTC) markets with less regulation. The pump-and-dump exists because bad actors exploit the low liquidity and limited information of these stocks — they can push the price up with a small amount of buying, then sell before the price collapses.

Concrete worked example: Imagine a company called "Quantum AI Mining Corp" that trades at \$0.50 per share on the OTC market. The company has no products, no revenue, and 10 million shares outstanding. A group of scammers buys 100,000 shares at \$0.50. Then they start a social media campaign: fake news articles, Twitter bots, WhatsApp groups claiming "Quantum AI just signed a deal with Google!" The price rises to \$2.00 as gullible investors pile in. The scammers sell their 100,000 shares at \$2.00, pocketing \$200,000 (minus

their initial \$50,000). The price then crashes back to \$0.30 as the fraud is exposed. Late investors lose 85% of their money.

How it shows up in the news: Today's sources don't mention a specific pump-and-dump, but the stock of AAOI (Applied Optoelectronics) rose 14.6% with no apparent news. While AAOI is a legitimate company on the Nasdaq (not a penny stock), large moves without news can sometimes be driven by hype or "pump" activity. In general, be wary of stocks that surge on unsupported claims, especially if they are small-cap and trade at low prices.

Rough benchmarks worth remembering: Most penny stocks trade below \$5. The SEC flags stocks under \$5 as "penny stocks" and imposes additional disclosure requirements. Pump-and-dumps typically last a few days to a few weeks. The scam is most common in sectors like biotech, crypto, and "AI" (since those are hard to evaluate).

Caution / common misconception: Not all low-priced stocks are scams. Some legitimate companies have fallen on hard times and trade at low prices. But the lower the price, the less information is available, and the easier it is to manipulate. Never buy a stock just because someone on social media or a newsletter says it's "the next NVIDIA." If the company is real, go read its financial statements. If it doesn't have any, assume it's a pump.

Concept Spotlight: Proxy War

What it is in plain words: A proxy war is a conflict where two opposing powers use third parties to fight each other, rather than directly engaging their own military forces. The great powers provide money, weapons, training, or intelligence to their chosen proxies, but they avoid sending their own troops. This allows them to pursue strategic goals without the risk of a direct war that could escalate to nuclear conflict.

Why it exists / what problem it solves: Direct war between nuclear-armed powers is too dangerous. Proxy wars let them compete for influence, test military tactics, and weaken adversaries at a lower cost. For the proxy, they get support from a powerful patron. For the patron, they achieve objectives without risking their own soldiers or a direct confrontation.

Concrete worked example: The US and Iran are currently in a proxy war across the Middle East. Iran supports Hezbollah in Lebanon, Hamas in Gaza, Houthi rebels in Yemen, and various militias in Iraq and Syria. The US supports Israel, the Saudi-led coalition in Yemen, and the Iraqi government. When the Houthis attack ships in the Red Sea, they are acting as a proxy for Iran, attacking US allies without Iran directly firing a shot. The US responds by bombing Houthi targets, but not by attacking Iran directly. This is a proxy war.

How it shows up in the news: Today's sources have multiple examples. The US lost 45 Reaper drones in the Iran war ([The Times of India](#)). The US is fighting Iran indirectly through support for Israel and regional allies. Similarly, Russia and Ukraine are in a proxy war: Russia supports separatist forces in eastern Ukraine, while the US and NATO support Ukraine with weapons and intelligence. The war is not a direct NATO-Russia conflict, but a proxy war.

Rough benchmarks worth remembering: Proxy wars have been common throughout the Cold War (Vietnam, Afghanistan, Angola). The US spent about \$2 trillion on the proxy war in Afghanistan over 20 years. The current proxy war in the Middle East has cost the US billions in military operations and support for Israel.

Caution / common misconception: Proxy wars are often called "low-intensity conflicts," but they can still be very deadly. The proxy war in Syria (2011-present) has killed over 500,000 people. Also, proxy wars can

escalate into direct war if a patron's "red line" is crossed. For example, if a Russian missile were to kill a NATO soldier, Article 5 could be triggered, turning a proxy war into a direct war.

Terms from Today's News

- **Reaper drone:** A large, unmanned aerial vehicle (UAV) used by the US military for surveillance and missile strikes. It costs about \$30 million per unit. The US lost 45 of them in the Iran war, representing a \$1.3 billion loss.
- **Mutual defence pact:** A treaty in which signatories agree to consider an attack on any one member as an attack on all. The Turkiye-Pakistan-Saudi pact is an example. It's similar to NATO's Article 5 but with less formal structure.
- **Capex guidance:** A company's forecast of how much it plans to spend on capital expenditures (long-lived assets like data centers, machinery, buildings) in a future period. CoreWeave raised its capex guidance, meaning it plans to spend more.
- **Off-peak pricing:** A pricing strategy where services are cheaper during periods of low demand. DeepSeek introduced off-peak pricing for its API, making it cheaper to run AI models during night hours in certain time zones.
- **Model card:** A document that describes a machine learning model's intended use, performance, limitations, and training data. The Qwen3.8-27B model card is a preliminary version, meaning not all details are final.
- **Open-weight vision model:** A model that can process images (vision) and whose trained parameters (weights) are publicly available, allowing anyone to run it on their own hardware. Liquid AI's LFM2.5-VL-3B is an example.
- **Agentic AI:** AI systems that can take autonomous actions to achieve goals, rather than just generating text. DeepSeek V4 Pro and Meta's Muse Glimmer are examples. Agentic AI is the next frontier beyond chatbots.
- **Sovereign AI:** The idea that a country should have its own domestic AI infrastructure and models, rather than relying on foreign companies. South Korea's Motif 3 release under MIT license is an example of a sovereign AI play.

- **Power Purchase Agreement (PPA):** A long-term contract to buy electricity from a specific source at a fixed price. Hyperscalers use PPAs to secure power for data centers. The natural gas price spike risk makes PPAs a double-edged sword.
- **Model router:** A software tool that sends a user's query to the cheapest or fastest model that can

handle it, based on complexity. It's a key technique for reducing API costs.

- **PIT maneuver:** A tactic used by police (and now cargo thieves) to force a fleeing vehicle to spin out by hitting it from behind at an angle. The cargo thieves used this to disable security escorts.

10. Bottom Line

Today's news is dominated by two themes: the escalating cost and complexity of the AI buildout, and the geopolitical tensions that are reshaping alliances. The US and China are talking about the Middle East, even as their tech rivalry intensifies (SMIC raising prices, Chinese AI models rivaling US ones). The proxy war between the US and Iran is costing the US \$1.3 billion in drone losses alone. Russia and Ukraine continue to escalate their drone war, with NATO now shooting down drones over Latvia. The AI infrastructure story is bifurcating: on one hand, capex is surging (CoreWeave, NVIDIA's \$500B target); on the other, risks are mounting (natural gas prices, cargo theft, inflation).

What changed since the previous brief: - The US lost 45 Reaper drones in the Iran war — a shocking number that hadn't been quantified before. - Putin visited the disputed Kuril Islands, escalating tensions with Japan. -

Pakistan warned India over the Indus Waters Treaty, a new front in South Asia tensions. - SpaceX acquired Cursor for \$60 billion, the largest AI M&A deal of the year. - Databricks raised \$5 billion at a \$190 billion valuation, showing investor appetite for AI platforms. - CoreWeave raised capex guidance again, signaling unabated demand for compute. - AI models continue to proliferate: Alibaba claims a model matching Anthropic, DeepSeek V4 Pro leaves preview, Liquid AI releases a phone-runnable vision model, and Qwen3.8-72B is teased. - The natural gas price forecast threatens to increase data center operating costs, a new risk for the buildout. - Cargo thieves are hijacking AI hardware shipments, a new supply chain risk. - CPI data was as expected, but retail sales slumped, signaling consumer weakness.

11. Sources

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Quick Check

1. What does the Indus Waters Treaty regulate, and why did Pakistan issue a "red line" warning to India?

Answer: The Indus Waters Treaty, brokered by the World Bank in 1960, allocates the waters of the Indus River system between India and Pakistan. Pakistan accused India of illegally suspending the treaty, which could threaten Pakistan's water supply for agriculture and drinking.

2. Why might a forecast of tripling natural gas prices hurt hyperscalers, and which stocks could benefit as a result?

Answer: If natural gas prices triple, hyperscalers (like Microsoft, Amazon, Google) that have signed long-term power purchase agreements (PPAs) for natural

gas to power their data centers would face massive operating cost increases. They could accelerate their shift to renewable energy, benefiting clean energy stocks like NextEra Energy (NEE) and Constellation Energy (CEG).

3. What is the key difference between a penny stock and a pump-and-dump?

Answer: A penny stock is a low-priced share (typically under \$5) of a small, often speculative company. A pump-and-dump is a scam where fraudsters artificially inflate the price of a stock (often a penny stock) through false claims, then sell their shares at the high price, leaving later investors with losses. Not all penny stocks are scams, but they are prone to manipulation.

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